

Anheuser-Busch InBev SA/NV

Recommendation **HOLD** ★ ★ ★ ★ ★

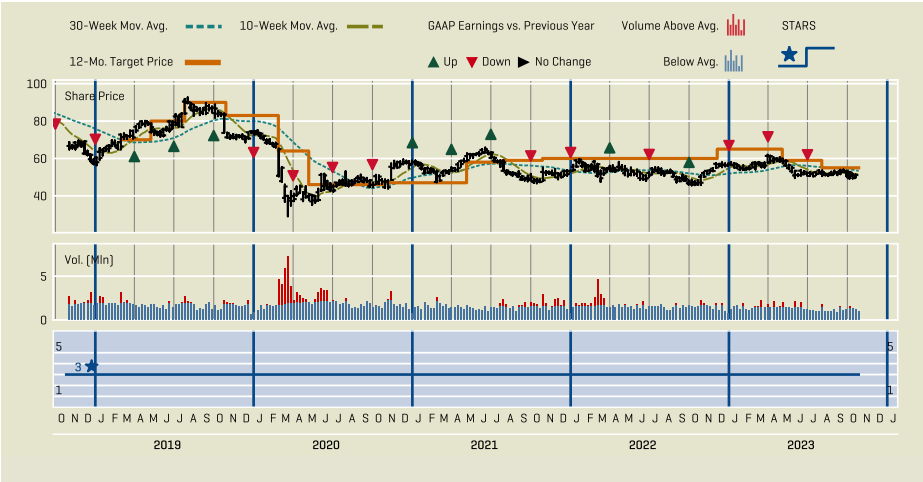
Price EUR 50.40 [as of market close Oct 27, 2023] 12-Mo. Target Price EUR 55.00 Report Currency USD Investment Style Large-Cap Value

Equity Analyst Garrett Nelson

GICS Sector Consumer Staples Sub-Industry Brewers Summary Anheuser-Busch InBev (ABI) is the world's largest brewing company by volume. The group also produces bottled water and other soft drinks.

| Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports) |                  |                          |          |                            |            |                             |      |
|----------------------------------------------------------------------------------------------|------------------|--------------------------|----------|----------------------------|------------|-----------------------------|------|
| 52-Wk Range                                                                                  | EUR 62.01 - 48.5 | Oper.EPS2023E            | USD 3.10 | Market Capitalization[B]   | EUR 100.13 | Beta                        | 1.36 |
| Trailing 12-Month EPS                                                                        | USD 3.1          | Oper.EPS2024E            | USD 3.60 | Yield [%]                  | 1.04       | 3-yr Proj. EPS CAGR[%]      | NM   |
| Trailing 12-Month P/E                                                                        | 17.18            | P/E on Oper.EPS2023E     | 17.18    | Dividend Rate/Share        | EUR 0.53   | SPGMI's Quality Ranking     | B-   |
| EUR 10K Invested 5 Yrs Ago                                                                   | 8,063.0          | Common Shares Outstg.[M] | 1,987.00 | Trailing 12-Month Dividend | EUR 0.53   | Institutional Ownership [%] | 20.0 |

Price Performance



Source: CFRA, S&P Global Market Intelligence  
Past performance is not an indication of future performance and should not be relied upon as such.  
Analysis prepared by Garrett Nelson on Aug 03, 2023 04:58 PM ET, when the stock traded at EUR 51.72.

Highlights

- ▶ We forecast revenue growth of 5% in 2023 and 6% in 2024, after increasing by 6.4% in 2022 and 15.8% in 2021. The reopening of on-premise bars and restaurants as Covid-19 restrictions were lifted was a strong top-line tailwind in both 2021 and 2022. ABI's worldwide volume growth totaled just 2.3% in 2022 (beer volume was +1.8% and non-beer volume was +5.2%) after a 9.6% increase in 2021 due to the waning of the reopening "boom." Like many beverage companies, ABI has leveraged the value of its brands to pass through higher costs to consumers in the form of price increases in recent quarters. We think concerns about the recent consumer backlash over the Bud Light brand are overblown, considering the company's global portfolio of over 500 beer brands.
- ▶ We expect the gross margin to contract slightly in 2023 from last year's level of 54.5%. ABI's gross margins contracted 300 bps to 54.5% in 2022 due to inflationary pressures on ingredients and packaging. In particular, Russia's invasion of Ukraine beginning in February 2022 caused a surge in the cost of barley and hops.
- ▶ We forecast adjusted EPS of \$3.10 for 2023 and \$3.60 for 2024, up from \$3.07 in 2022 and \$2.85 in 2021, primarily due to higher prices.

Investment Rationale/Risk

- ▶ We rate ABI a Hold with a 12-month target of EUR55, based on a 2024 P/E of 16.7x, a discount to its five-year mean forward P/E of 20.8x. ABI's EV/EBITDA multiples are slightly below peer comps, reflecting BUD's continued efforts to deleverage towards its 2x net debt/EBITDA target. BUD has steadily brought down its net debt/EBITDA ratio from 4.8x at year-end 2020 to 4.0x at year-end 2021 and 3.5x at year-end 2022, although it ticked higher to 3.7x at mid-year 2023. We prefer other brewers but acknowledge that ABI's low beta and more defensive characteristics could appeal to some investors in the current environment.
- ▶ We have been somewhat cautious on ABI despite the prospects of better profitability as the ongoing volume recovery and reopening of trade continues. Furthermore, net debt has decreased slightly as cash flows improve and sales pick up. Nonetheless, ABI's still-elevated leverage reduces its financial flexibility.
- ▶ Key downside risks include (i) lower-than-expected synergies following the merger with SAB Miller; (ii) a return to weakness in beer volumes particularly within the North and South American markets; and (iii) an inability to pass on higher input costs as commodity costs spike.

Analyst's Risk Assessment

LOW MEDIUM HIGH

Our Medium risk assessment reflects our view that demand for beer and soft drinks is comparatively stable in developed economies and growing in emerging markets. However, this is offset by the company's high debt levels as a consequence of its multi-year acquisition spree.

Revenue/Earnings Data

| Revenue (Million USD) |            |            |            |            |            |
|-----------------------|------------|------------|------------|------------|------------|
|                       | 1Q         | 2Q         | 3Q         | 4Q         | Year       |
| 2024                  | EUR 14,896 | EUR 16,422 | EUR 16,612 | EUR 16,463 | EUR 64,393 |
| 2023                  | 14,213     | 15,120     | EUR 15,863 | EUR 15,701 | EUR 60,897 |
| 2022                  | 13,235     | 14,792     | 15,091     | 14,668     | 57,787     |
| 2021                  | 12,293     | 13,539     | 14,274     | 14,198     | 54,304     |
| 2020                  | 11,003     | 10,295     | 12,816     | 12,767     | 46,881     |
| 2019                  | 12,589     | 13,963     | 13,172     | 13,334     | 52,329     |

Earnings Per Share (USD)

|      | 1Q       | 2Q       | 3Q       | 4Q       | Year     |
|------|----------|----------|----------|----------|----------|
| 2024 | EUR 0.72 | EUR 0.85 | EUR 0.98 | EUR 1.05 | EUR 3.60 |
| 2023 | 0.65     | 0.72     | EUR 0.92 | EUR 0.81 | EUR 3.10 |
| 2022 | 0.67     | 0.75     | 0.81     | 0.86     | 3.07     |
| 2021 | 0.51     | 0.95     | 0.50     | 0.90     | 2.85     |
| 2020 | -0.42    | 0.46     | 0.79     | 1.08     | 1.91     |
| 2019 | 1.27     | 1.25     | 1.22     | 0.06     | 4.62     |

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

| Amount [EUR] | Date Decl. | Ex-Div. Date | Stk. of Record | Payment Date |
|--------------|------------|--------------|----------------|--------------|
| 0.5250       | Mar 02     | May 03       | May 04         | May 05 '23   |
| 0.3500       | Mar 01     | May 03       | May 04         | May 05 '22   |
| 0.3500       | Feb 25     | May 04       | May 05         | May 06 '21   |
| 0.3500       | Apr 14     | Jun 09       | Jun 10         | Jun 11 '20   |
| 0.5600       | Oct 30     | Nov 19       | Nov 20         | Nov 21 '19   |
| 0.7000       | Feb 28     | May 07       | May 08         | May 09 '19   |

Dividends have been paid since 2002. Source: Company reports  
Past performance is not an indication of future performance and should not be relied upon as such.

Forecasts are not a reliable indicator of future performance.  
Dividends paid in currencies other than the Trading currency have been accordingly converted for display purposes.

**Anheuser-Busch InBev SA/NV**

**Business Summary** Aug 03, 2023

**CORPORATE OVERVIEW.** Anheuser-Busch InBev [AB InBev/BUD] is the largest brewer globally, accounting for almost a third of global beer production, producing over about 595 million hectoliters [hL] and sales of approximately \$58 billion in 2022. The company has operations in over 100 countries, with its headquarters in Leuven, Belgium. AB InBev’s roots stretch back over around 800 years demonstrating the durability of the franchise. The company owns a global portfolio of over 500 brands, including Budweiser, Corona Extra, and Stella Artois, and more local champions such as Antarctica, Brahma, Bud Light, and Modelo Especial.

The group has grown rapidly since the early 2000s and has been a key participant in the consolidation of the global beer industry. InBev acquired Anheuser-Busch for an enterprise value [EV] of \$60 billion at the end of 2008. In 2013, AB InBev gained full control of Mexican brewer Grupo Modelo for over USD20 billion. In 2016, AB InBev bid for number two producer SAB Miller in a USD107 billion deal.

**CORPORATE STRATEGY.** Beer production is largely a scale game with the benefits accruing to the largest producers. This has led to an ongoing global trend of consolidation, of which AB InBev has been one of the largest participants. That said, AB InBev has arguably reached the end of its debt-fueled M&A strategy with the company making a commitment to reduce debt. Dividend cuts and asset sales have been forced upon the company as the need to deleverage its balance sheet reverses some of its prior acquisitions.

With global beer consumption growth slowing (and indeed falling in some markets), premiumization has been a key strategy to drive top-line growth. A change in its product mix to sell premium branded beers has seen the gross margin expand from about 53% to approximately 61% over the decade to 2019, though it has subsequently settled in the mid-50s as input costs have begun to bite.

With volumes slowing, product innovation has also been a key strategy. AB InBev aims to have no/low-alcohol beer products representing about 20% of its global volumes by 2025.

**THE ONGOING INVESTMENT CASE.** ABI remains a business with a strong portfolio of global brands as well as the largest scale network. Management’s premiumization strategy is the right one and by investing in its key brands, BUD will continue to derive significant pricing power. That said, cash flows will continue to be devoted to deleveraging and we do not rule out further asset sales as BUD continues its deleveraging, which will divert cash flows away from shareholders.

**MARKET PROFILE.** The North American brewing industry is competitive and highly concentrated, with the two largest brewers controlling about 61% of the market in 2021 [down from 73% in 2014]. In 2021, Anheuser-Busch InBev had a 40% North American market share, exceeding the market share of #2 brewer Molson Coors, which had a 21% North American market share. ABI’s market share has declined steadily from 46% in 2014, as has Molson Coors’ (from 27% to 21%), as all others’ market share [which includes craft breweries] has grown from 27% in 2014 to 39% in 2021. With an industry-wide annual growth rate of less than 1% since 2008, increasing market share has required ever larger investments in marketing and sales. Volumes have been shifting from premium brands to super premium and value brands since 2001.

**FINANCIAL TRENDS.** ABI’s revenues have increased from \$46.9 billion in 2020 to \$54.3 billion in 2021 and \$57.8 billion in 2022, while its adjusted EPS has gone from \$1.91 in 2020 to \$2.80 in 2021 and \$3.21 in 2022. In 2022, ABI posted adjusted EPS growth of 15% [\$3.21 versus \$2.80], as revenue rose 6.4% on higher prices and a 2.3% volume increase, partially offset by weaker margins, as the gross margin contracted 300 bps to 54.5%. In the first half of 2023, ABI posted an adjusted EPS decline of 3% [\$1.33 versus \$1.37], as revenue rose 10% on higher prices, partially offset by a 1.4% volume decline, but the gross margin contracted 60 bps to 53.9%.

As of June 30, 2023, ABI had approximately \$6.8 billion of cash and equivalents, down from \$10.0 billion at the end of 2022. The company had \$80.9 billion of total debt, up from \$80.2 billion at the end of 2022.

ABI currently pays an annualized dividend of EURO.50/share. Its dividend has remained at that level since 2019, when it lowered its payout from EURO.80. ABI has prioritized debt paydown over a more generous dividend as it attempts to bring down its leverage ratios. AB InBev’s net debt to EBITDA was about 3.5x as of the end of 2022 and the company is working to bring it down to a targeted level of 2x. ABI has not repurchased any stock since completing a buyback program in 2015.

**Corporate information**

|                                                                                        |                                                               |
|----------------------------------------------------------------------------------------|---------------------------------------------------------------|
| <b>Investor contact</b><br>S. Fullalove [32 1 627 61 11]                               |                                                               |
| <b>Office</b><br>Brouwerijplein 1, Leuven, Flemish Brabant, 3000                       |                                                               |
| <b>Telephone</b><br>32 1 627 61 11                                                     |                                                               |
| <b>Fax</b><br>32 1 650 61 11                                                           |                                                               |
| <b>Website</b><br>www.ab-inbev.com                                                     |                                                               |
| <b>Officers</b>                                                                        |                                                               |
| <b>Chief Executive Officer</b><br>M. Doukeris                                          | <b>Chief Financial Officer</b><br>F. M. Tennenbaum            |
| <b>Chief Legal &amp; Corporate Affairs Officer and Corporate Secretary</b><br>J. Blood | <b>Independent Non-Executive Chairman</b><br>M. J. Barrington |
| <b>Chief Strategy &amp; Technology Officer</b><br>D. de Almeida                        |                                                               |
| <b>Board Members</b>                                                                   |                                                               |
| A. C. de Ways-Ruart                                                                    | L. Biggar                                                     |
| A. S. Dávila                                                                           | M. J. Barrington                                              |
| A. Sarin                                                                               | M. M. Burns                                                   |
| A. Van Damme                                                                           | N. N. Motta                                                   |
| C. B. Garcia                                                                           | P. A. Lemann                                                  |
| D. V. de Put                                                                           | S. Chalmers                                                   |
| G. de Spoelberch                                                                       | S. Mancuso                                                    |
| H. Sicupira                                                                            |                                                               |
| <b>Domicile</b><br>Belgium                                                             | <b>Auditor</b><br>PwC Bedrijfsrevisoren<br>BCVBA              |
| <b>Founded</b><br>1366                                                                 |                                                               |
| <b>Employees</b><br>167,000                                                            |                                                               |
| <b>Stockholders</b><br>N/A                                                             |                                                               |

**Anheuser-Busch InBev SA/NV**

| Quantitative Evaluations                                                                                            |         |                                                                               |         |   |           | Expanded Ratio Analysis |                                        |          |          |          |          |
|---------------------------------------------------------------------------------------------------------------------|---------|-------------------------------------------------------------------------------|---------|---|-----------|-------------------------|----------------------------------------|----------|----------|----------|----------|
| Fair Value Rank                                                                                                     | NR      | 1                                                                             | 2       | 3 | 4         | 5                       | 2022                                   | 2021     | 2020     | 2019     |          |
| LOWEST                                                                                                              |         |                                                                               |         |   |           | HIGHEST                 | Price/Sales                            | 2.13     | 2.28     | 2.97     | 3.16     |
| Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued [1] to most undervalued [5]. |         |                                                                               |         |   |           |                         | Price/EBITDA                           | 6.77     | 6.80     | 8.23     | 8.16     |
|                                                                                                                     |         |                                                                               |         |   |           |                         | Price/Pretax Income                    | 12.94    | 14.61    | 67.02    | 12.94    |
|                                                                                                                     |         |                                                                               |         |   |           |                         | P/E Ratio                              | 19.09    | 21.60    | 36.51    | 20.00    |
|                                                                                                                     |         |                                                                               |         |   |           |                         | Avg. Diluted Shares Outstg. [M]        | 2,050.00 | 2,045.00 | 1,998.00 | 2,026.00 |
|                                                                                                                     |         |                                                                               |         |   |           |                         | Figures based on fiscal year-end price |          |          |          |          |
| Volatility                                                                                                          | LOW     |                                                                               | AVERAGE |   | HIGH      |                         |                                        |          |          |          |          |
| Technical Evaluation                                                                                                | BULLISH | Since September, 2023, the technical indicators for ABI BB have been BULLISH" |         |   |           |                         |                                        |          |          |          |          |
| Insider Activity                                                                                                    | NA      | UNFAVORABLE                                                                   | NEUTRAL |   | FAVORABLE |                         |                                        |          |          |          |          |
| Key Growth Rates and Averages                                                                                       |         |                                                                               |         |   |           |                         |                                        |          |          |          |          |
| Past Growth Rate [%]                                                                                                |         |                                                                               |         |   |           |                         | 1 Year                                 | 3 Years  | 5 Years  |          |          |
| Net Income                                                                                                          |         |                                                                               |         |   |           |                         | 27.82                                  | NM       | NM       |          |          |
| Sales                                                                                                               |         |                                                                               |         |   |           |                         | 6.41                                   | 3.36     | 0.47     |          |          |
| Ratio Analysis (Annual Avg.)                                                                                        |         |                                                                               |         |   |           |                         |                                        |          |          |          |          |
| Net Margin [%]                                                                                                      |         |                                                                               |         |   |           |                         | 10.33                                  | 7.31     | 9.54     |          |          |
| % LT Debt to Capitalization                                                                                         |         |                                                                               |         |   |           |                         | 46.77                                  | 50.15    | 51.79    |          |          |
| Return on Equity [%]                                                                                                |         |                                                                               |         |   |           |                         | 9.29                                   | 5.74     | 7.35     |          |          |

| Company Financials Fiscal year ending Dec 31         |         |         |         |         |         |         |         |         |         |         |
|------------------------------------------------------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|
| Per Share Data [USD]                                 | 2022    | 2021    | 2020    | 2019    | 2018    | 2017    | 2016    | 2015    | 2014    | 2013    |
| Tangible Book Value                                  | -40.24  | -44.20  | -47.90  | -48.41  | -58.08  | -59.07  | -56.53  | -32.75  | -31.56  | -30.43  |
| Free Cash Flow                                       | 4.04    | 4.56    | 3.56    | 4.47    | 5.03    | 5.42    | 2.99    | 5.72    | 5.97    | 6.18    |
| Earnings                                             | 2.91    | 2.28    | -0.33   | 4.32    | 1.91    | 3.96    | 0.68    | 4.96    | 5.54    | 8.72    |
| Earnings [Normalized]                                | 3.15    | 2.80    | 1.91    | 4.08    | 3.44    | 4.04    | 2.83    | N/A     | N/A     | N/A     |
| Dividends                                            | 0.80    | 0.57    | 0.61    | 1.46    | 2.06    | 4.33    | 3.86    | 3.91    | 3.63    | 2.83    |
| Payout Ratio [%]                                     | 40.91   | 50.62   | 128.00  | 54.68   | 178.00  | 116.00  | 681.00  | 96.29   | 80.30   | 43.44   |
| Prices: High                                         | 68.09   | 79.81   | 83.83   | 102.58  | 115.36  | 119.90  | 133.86  | 131.14  | 115.58  | 102.27  |
| Prices: Low                                          | 44.81   | 53.99   | 31.08   | 63.96   | 64.85   | 111.54  | 98.22   | 101.54  | 93.40   | 83.07   |
| P/E Ratio: High                                      | 20.30   | 26.80   | 48.20   | 25.50   | 32.20   | 32.70   | 44.60   | NM      | NM      | NM      |
| P/E Ratio: Low                                       | 15.50   | 19.00   | 18.60   | 15.50   | 18.90   | 27.60   | 34.40   | NM      | NM      | NM      |
| Income Statement Analysis [Million USD]              |         |         |         |         |         |         |         |         |         |         |
| Revenue                                              | 57,786  | 54,304  | 46,881  | 52,329  | 53,041  | 56,444  | 45,517  | 43,604  | 47,063  | 43,195  |
| Operating Income                                     | 14,411  | 14,073  | 12,104  | 16,154  | 16,932  | 17,564  | 13,125  | 13,629  | 15,179  | 14,015  |
| Depreciation + Amortization                          | 4,423   | 4,694   | 4,829   | 4,570   | 4,533   | 4,185   | 3,477   | 3,115   | 3,357   | 2,981   |
| Interest Expense                                     | 3,807   | 3,851   | 4,161   | 4,315   | 4,629   | 4,906   | 4,728   | 2,131   | 2,333   | 2,365   |
| Pretax Income                                        | 9,525   | 8,464   | 2,079   | 12,776  | 7,742   | 11,075  | 4,334   | 12,461  | 13,801  | 18,534  |
| Effective Tax Rate                                   | 20.20   | 27.80   | 92.90   | 21.80   | 33.40   | 17.30   | 37.20   | 20.80   | 18.10   | 10.90   |
| Net Income                                           | 5,969   | 4,670   | 1,405   | 9,171   | 4,370   | 7,996   | 1,241   | 8,273   | 9,216   | 14,394  |
| Net Income [Normalized]                              | 4,425   | 4,383   | 2,948   | 6,231   | 5,113   | 6,489   | 3,501   | 6,230   | 6,342   | 5,363   |
| Balance Sheet and Other Financial Data [Million USD] |         |         |         |         |         |         |         |         |         |         |
| Cash                                                 | 10,070  | 12,471  | 15,648  | 7,330   | 7,161   | 11,776  | 14,238  | 6,978   | 8,658   | 9,962   |
| Current Assets                                       | 23,186  | 23,949  | 26,519  | 28,814  | 18,282  | 23,960  | 43,017  | 18,294  | 18,541  | 18,690  |
| Total Assets                                         | 212,943 | 217,627 | 226,410 | 236,648 | 233,868 | 246,126 | 256,586 | 134,635 | 142,550 | 141,666 |
| Current Liabilities                                  | 34,383  | 34,184  | 32,352  | 34,841  | 34,826  | 36,211  | 40,369  | 28,456  | 27,208  | 25,627  |
| Long Term Debt                                       | 76,917  | 85,539  | 93,641  | 95,872  | 105,422 | 108,763 | 113,733 | 43,419  | 43,500  | 41,142  |
| Total Capital                                        | 164,462 | 168,268 | 177,179 | 187,634 | 183,584 | 197,735 | 204,675 | 95,424  | 105,379 | 104,434 |
| Capital Expenditures                                 | 5,160   | 5,640   | 3,781   | 5,174   | 5,005   | 4,741   | 4,979   | 4,749   | 4,395   | 3,869   |
| Cash from Operations                                 | 13,298  | 14,799  | 10,891  | 14,036  | 14,936  | 15,430  | 10,110  | 14,121  | 14,144  | 13,864  |
| Current Ratio                                        | 0.67    | 0.70    | 0.82    | 0.83    | 0.52    | 0.66    | 1.07    | 0.64    | 0.68    | 0.73    |
| % Long Term Debt of Capitalization                   | 46.80   | 50.80   | 52.90   | 51.10   | 57.40   | 55.00   | 55.60   | 45.50   | 41.30   | 39.40   |
| % Net Income of Revenue                              | 10.30   | 8.60    | 3.00    | 17.50   | 8.20    | 14.20   | 2.70    | 19.00   | 19.60   | 33.30   |
| % Return on Assets                                   | 4.18    | 3.96    | 3.27    | 4.29    | 4.41    | 4.37    | 4.19    | 6.15    | 6.68    | 6.63    |
| % Return on Equity                                   | 9.30    | 7.80    | 0.20    | 12.80   | 6.80    | 11.30   | 4.30    | 19.70   | 20.60   | 32.80   |

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

# Anheuser-Busch InBev SA/NV

## Industry Outlook

CFRA is positive on the 12-month fundamental outlook for the European Consumer Staples sector, reflecting our preference towards less cyclical and more defensive sectors. The sector was down 1.6% year-to-date (YTD) through September 30, 2023, underperforming the broader market – S&P Europe 350 Index – which recorded a gain of 6.5% during the same period. The adverse impact of energy crisis is seen subsiding alongside supply chain constraints. For context, the annual inflation in the eurozone is seen declining to its lowest level since October 2021, falling to 4.3% in September 2023. The FAO Food Price Index averaged 121.5 pts in September 2023, moderating on a monthly basis, but is still higher than the 98.1 pts recorded in 2020.

Among the sub-sectors, we remain attracted to the defensiveness of the Consumer Staples Distribution & Retail sub-sector as consumers look for avenues closer to homes while also seeking value amid cost-of-living pressures. The sub-sector maintained outperformance on strong YTD gain of 13.1% through September 30, 2023. We think the improving inflation outlook will contribute to stable market shares moving forward. Note that discounters have gained market shares at the expense of the constituents during early 2022 to mid-2023. Although cost of wages will continue to pressure margins, We still see potential for margin expansion, driven by successful negotiations with food suppliers on declining input prices.

We remain positive on the Household & Personal Care Products (HPC) sub-sector. The sub-sector outperformed the broader sector by gaining 5.1% YTD through September 30, 2023. We see moderating commodity prices, which should lead to improved margins. The sub-sector can be seen shifting towards volume growth, which may be volatile and uncertain, but we think it is the right direction for sustainable growth with customer loyalty in mind. Note that HPC producers have been struggling to fully pass-through cost inflation without impact on volume due to limited pricing power. Stabilizing input cost could help

HPC to support advertising and promotional activities to enhance brand equity, which will be important in driving market share gains, in our opinion. We note that the HPC sub-sector is trading at a premium to the overall consumer staples sector, which fairly reflects its higher relative growth potential.

We remain positive on the Food, Beverage, and Tobacco subsector. The sub-sector underperformed the broader sector with return of -6.1% YTD through September 30, 2023. We see stable earnings and attractive cash flow for tobacco companies as we project the successful implementation of tobacco alternatives in both developed and emerging markets. Food companies are expected to stay resilient, while breweries have unexpectedly run into volume headwinds in certain regions. Nevertheless, we expect continued product innovation from beverage players/brewers to support revenue/volume growth, with room for margin expansion from moderating commodity input prices.

**/ Danny Yeo Sze Wai, CFA**

| Sub-Industry: Brewers Peer Group*: Brewers |              |          |          |                    |                    |                       |                       |           |                  |           |                      |                |
|--------------------------------------------|--------------|----------|----------|--------------------|--------------------|-----------------------|-----------------------|-----------|------------------|-----------|----------------------|----------------|
| Peer Group                                 | Stock Symbol | Exchange | Currency | Recent Stock Price | Stk. Mkt. Cap. (M) | 30-Day Price Chg. (%) | 1-Year Price Chg. (%) | P/E Ratio | Fair Value Calc. | Yield (%) | Return on Equity (%) | LTD to Cap (%) |
| Anheuser-Busch InBev                       | ABI BB       | ENXTBR   | USD      | 50.40              | 100,155.0          | -0.9                  | 0.8                   | 17.0      | N/A              | 1.0       | 9.1                  | 44.9           |
| Carlsberg                                  | CARLB DC     | CPSE     | DKK      | 859.80             | 125,132.0          | -5.0                  | -3.8                  | 13.0      | N/A              | 3.1       | 25.7                 | 30.4           |
| Heineken NV                                | HEIA NA      | ENXTAM   | EUR      | 83.44              | 47,299.0           | -0.0                  | 0.2                   | 18.0      | N/A              | 2.3       | 12.7                 | 31.5           |
| Molson Coors Brewing                       | TAP          | NYSE     | USD      | 56.75              | 12,288.0           | -9.1                  | 13.8                  | 11.0      | N/A              | 2.9       | 0.4                  | 30.3           |

\*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.  
NA-Not Available; NM-Not Meaningful.  
Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

# Anheuser-Busch InBev SA/NV

## Analyst Research Notes and other Company News

### August 03, 2023

06:07 AM ET... CFRA Maintains Hold Opinion on Shares of Anheuser-Busch InBev (ABI BB 53.20\*\*\*):

We lower our 12-month price target by EUR4 to EUR55, based on a '24 P/E of 16.7x, a discount to its 5-year mean forward P/E of 20.8x. We lower our adjusted EPS estimates by \$0.20 to \$3.10 for '23 and by \$0.10 to \$3.60 for '24. BUD posted Q2 adjusted EPS of \$0.72 vs. \$0.73 [-1%], ahead of the \$0.69 consensus. The beat was driven by stronger-than-expected margins, as total revenue rose 7% to \$15.12B [\$260M below consensus] on higher pricing, partially offset by a 1.4% volume decline. Gross margin contracted 90 bps to 53.6%. BUD maintained prior full year guidance for EBITDA growth of 4%-8%, which we think should reassure investors that financial concerns over the recent consumer backlash over the Bud Light brand are overblown considering the company's global portfolio of over 500 beer brands. We consider the stock's valuation as fair, but believe some may see opportunity, believing that Bud Light concerns are overblown and the company's global product diversification is being undervalued. / Garrett Nelson

### May 04, 2023

09:49 AM ET... CFRA Maintains Hold Opinion on Shares of Anheuser-Busch InBev SA/NV (ABI BB 58.55\*\*\*):

We lower our 12-month target to EUR59 from EUR65, based on a 2024 P/E of 17.6x, a discount to its 10-year mean forward P/E of 22.5x. We lower our 2023 adjusted EPS estimate by \$0.15 to \$3.30, but maintain 2024's at \$3.70. BUD posts Q1 adjusted EPS of \$0.65 vs. \$0.60 [+8%], ahead of the \$0.62 consensus. The beat was driven by a stronger-than-expected top line, as total revenue rose 13% to \$14.21B [\$160M above consensus] on higher pricing and a 0.9% volume increase. Gross margin contracted 60 bps to 54.1%. BUD maintained prior 2023 guidance for EBITDA growth of 4%-8%, which we think should reassure investors that concerns about the recent consumer backlash over the Bud Light brand are overblown considering the company's global portfolio of over 500 beer brands. BUD continues to successfully pass through higher costs to consumers through price increases. We consider the stock's valuation fair, but believe that some may find its strong margins, low beta, and defensiveness appealing in the current environment. / Garrett Nelson

### March 02, 2023

04:50 AM ET... CFRA Maintains Hold Opinion on Shares of Anheuser-Busch InBev (ABI BB 60.25\*\*\*):

We maintain a 12-month price target of EUR65, based on a '24 P/E of 17.6x, a discount to its 10-year mean forward P/E of 22.5x. We increase our adjusted EPS estimates to \$3.45 from \$3.30 for '23 and to \$3.70 from \$3.55 for '24. BUD posts Q4 adjusted EPS of \$0.86 vs. \$0.87 [-1%], well ahead of the \$0.71 consensus. The beat was driven by a stronger-than-expected top line, as total revenue rose 3.3% to \$14.67B [\$560M above consensus] on higher pricing which offset a 0.6% volume decline. Gross margin contracted 250 bps to 54.6% [50 bps below consensus]. BUD introduced full year EBITDA growth guidance of 4%-8% [the current consensus implies 4.7% growth]. Similar to other beverage companies, BUD has been largely successful at passing through higher costs to consumers through price increases. While our price target implies modest upside from current levels, we consider the stock's valuation fair, but believe that some may find its strong margins, low beta, and defensiveness appealing in the current environment. / Garrett Nelson

### December 05, 2022

02:37 PM ET... CFRA Maintains Hold Opinion on Shares of Anheuser-Busch InBev (ABI BB 59.69\*\*\*):

We increase our 12-month target by EUR5 to EUR65, based on a '24 P/E of 18.3x, a discount to its 10-year mean forward P/E of 22.5x. We maintain a Hold opinion on valuation after a big run-up since BUD reported Q3 earnings in late October. We revise our adjusted EPS estimates to \$2.95 from \$3.11 for '22, to \$3.30 from \$3.64 for '23, and introduce '24 at \$3.55. We believe ABI has turned the corner from an operational perspective, posting stronger-than-expected Q3 results and raising its full year EBITDA growth guidance to 6%-8% from 4%-8% last month. Notably, the company's revenue growth of 12% Y/Y was driving by higher pricing and volumes growth of 3.7%. Similar to other beverage companies, ABI has been largely successful at passing through higher costs to consumers through price increases because of its brand strength. While we believe the company has turned the corner from a revenue growth perspective, we acknowledge that some may find its low beta and defensiveness appealing in the current environment. / Garrett Nelson

### February 24, 2022

07:23 AM ET... CFRA Reiterates Hold Rating on Shares of Anheuser-Busch InBev (ABI BB 53.51\*\*\*):

We retain our Hold call on AB InBev (ABI), with an unchanged EUR60 target. In a largely in-line result, ABI reported 2021 sales and normalized EPS of \$54.3bn and \$2.85/share respectively. Revenues were +16% higher y/y as volumes rebounded (+10%) from the soft 1H20 period. But higher input costs left gross margins down -66bps to 57.5% and indeed were even more acute in 4Q, down 121bps. Nonetheless, normalized EBIT grew in line with revenues (+15%) as margins were kept broadly flat as the lower gross margins were offset by better performance on the SG&A line. ABI's 2022 outlook called for just 4-8% EBITDA growth as the reopening tailwinds wane, and cost headwinds emerge. This outlook remains broadly in line with guidance from other brewers. We cut our 2022 EPS to \$3.11 [3.74] reflecting weaker gross margins and higher interest costs despite the likely repricing. 2023 is set at \$3.64/share. Ultimately ABI's stretched balance sheet continues to leave us preferring other brewers, and we maintain our Hold call. / Andrew Tam

### October 28, 2021

10:36 AM ET... CFRA Maintains Hold Rating on Shares of Anheuser-Busch InBev (ABI BB 54.20\*\*\*):

We keep our Hold call on AB InBev (ABI), with a higher EUR60 [59] target. ABI has seen its 3Q growth normalise from 1H levels. That said, it remained respectable — revenues grew +8% y/y [\$14.3bn], driven by volumes up +3% and +4% higher revenue/hL. Normalized EBIT rose +4% to \$4.0bn as normalized EBIT margins fell 110bps, largely as we expected, though this was slightly better than our estimates thanks to cost growth lower than our forecasts. Nine month YTD growth remains attractive — sales +17%, normalized EBIT +19%. Many of ABI's businesses have now seen good growth vs. 2020 and pre-pandemic levels. 3Q annualized volumes of ~600mHl represents a high-water mark. With three quarters of the year gone, ABI felt fit to upgrade 2021 guidance to a narrower 10-12% growth range (8-12%). As a result, our 2021 normalized EPS moves to \$3.15 [3.08] and 2022 moves to \$3.74 [3.72]. A good 3Q result leaves 2021 shaping up as a solid year for ABI, but with debt levels still in the nosebleed section, we stick with Hold. / Andrew Tam

### July 29, 2021

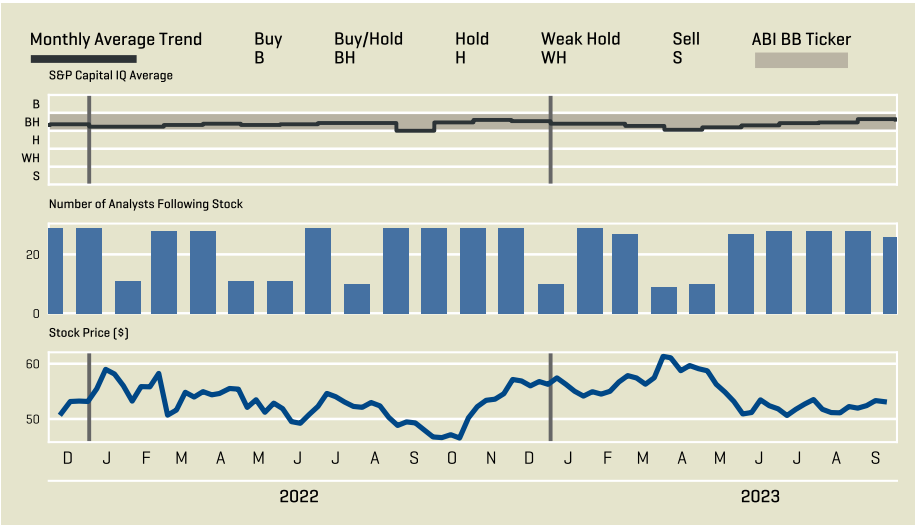
08:27 AM ET... CFRA Retains Hold Rating on Shares of Anheuser-Busch InBev (ABI BB 54.40\*\*\*):

We retain our Hold rating on AB InBev (ABI), with a higher EUR59 [58] target. 1H21 sales of \$25.8bn were up +21% as reopenings and the cycling of the weak 2Q20 flattered growth. Once again this was a volume driven result, growing +17% to 280.4mHl, slightly above pre-Covid-19 1H19 levels. The better volumes were a clear result of on-trade reopenings with most regions outside North America [broadly flat] posting 15-30% volume growth. This left Normalized EBIT of \$6.8bn, up +33% thanks to the better topline which left margins +220bps higher. The 2021 outlook remained unchanged, calling for ~8-12% EBITDA growth driven. The result was in line with the street but investors were looking for more, disappointed there was no guidance upgrade. Nonetheless our 2021 EPS moves to \$3.08 [2.88] in line with [top end] guidance, while 2022 moves to \$3.72 [3.75] thanks to higher costs. This is a recovering business, but the result demonstrates what happens when optimism exceeds delivery. With that, we maintain the Hold. / Andrew Tam

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

Anheuser-Busch InBev SA/NV

Analysts Recommendations



|            | No. of Recommendations | % of Total | 1 Mo.Prior | 3 Mos.Prior |
|------------|------------------------|------------|------------|-------------|
| Buy        | 13                     | 50         | 14         | 11          |
| Buy/Hold   | 5                      | 19         | 6          | 7           |
| Hold       | 5                      | 19         | 5          | 6           |
| Weak hold  | 1                      | 4          | 1          | 2           |
| Sell       | 1                      | 4          | 1          | 1           |
| No Opinion | 1                      | 4          | 1          | 1           |
| Total      | 26                     | 100        | 28         | 28          |

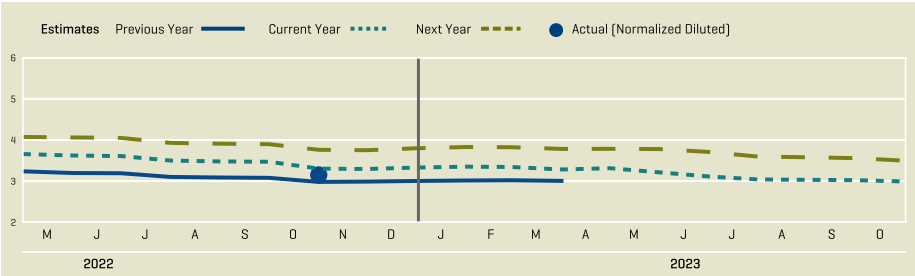
Wall Street Consensus Opinion

Buy/Hold

Wall Street Consensus vs. Performance

For fiscal year 2023, analysts estimate that ABI BB will earn USD 2.99. For fiscal year 2024, analysts estimate that ABI BB's earnings per share will grow by 16.89% to USD 3.50.

Wall Street Consensus Estimates



| Fiscal Year     | Avg Est. | High Est. | Low Est. | # of Est. | Est. P/E |
|-----------------|----------|-----------|----------|-----------|----------|
| 2024            | 3.50     | 4.00      | 3.02     | 25        | 14.51    |
| 2023            | 2.99     | 3.32      | 2.78     | 23        | 16.96    |
| 2024 vs. 2023   | ▲ 17%    | ▲ 20%     | ▲ 9%     | ▲ 9%      | ▼ -14%   |
| Q3'24           | 1.04     | 1.04      | 1.04     | 1         | 48.77    |
| Q3'23           | 0.83     | 0.88      | 0.75     | 7         | 61.09    |
| Q3'24 vs. Q3'23 | ▲ 25%    | ▲ 18%     | ▲ 39%    | ▼ -86%    | ▼ -20%   |

Forecasts are not reliable indicator of future performance.

Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.

Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.



# Anheuser-Busch InBev SA/NV

## Glossary

### STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index (MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index)], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

### S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsize the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

|               |                     |
|---------------|---------------------|
| A+ Highest    | B Below Average     |
| A High        | B- Lower            |
| A Above       | C Lowest            |
| B+ Average    | D In Reorganization |
| NC Not Ranked |                     |

### EPS Estimates

CFRA's earnings per share (EPS) estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

### 12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

### Abbreviations Used in Equity Research Reports

- CAGR - Compound Annual Growth Rate
- CAPEX - Capital Expenditures
- CY - Calendar Year
- DCF - Discounted Cash Flow
- DDM - Dividend Discount Model
- EBIT - Earnings Before Interest and Taxes
- EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
- EPS - Earnings Per Share
- EV - Enterprise Value
- FCF - Free Cash Flow
- FFO - Funds From Operations
- FY - Fiscal Year
- P/E - Price/Earnings
- P/NAV - Price to Net Asset Value
- PEG Ratio - P/E-to-Growth Ratio
- PV - Present Value
- R&D - Research & Development
- ROCE - Return on Capital Employed
- ROE Return on Equity
- ROI - Return on Investment
- ROIC - Return on Invested Capital
- ROA - Return on Assets
- SG&A - Selling, General & Administrative Expenses
- SOTP - Sum-of-The-Parts
- WACC - Weighted Average Cost of Capital

**Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes (paid in the country of origin).**

### Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

### STARS Ranking system and definition:

#### ★★★★★ 5-STARS (Strong Buy):

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

#### ★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

#### ★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

#### ★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

#### ★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

### Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



# Anheuser-Busch InBev SA/NV

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Stocks are ranked in accordance with the following ranking methodologies:

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### Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five [six] model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section seof the report for detailed methodology and the definition of Quantitative rankings.

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### STARS Stock Reports:

Global STARS Distribution as of September 30, 2023

| Ranking | North America | Europe | Asia   | Global |
|---------|---------------|--------|--------|--------|
| Buy     | 36.8%         | 34.5%  | 41.6%  | 37.4%  |
| Hold    | 53.8%         | 51.2%  | 50.3%  | 52.6%  |
| Sell    | 9.4%          | 14.3%  | 8.1%   | 10.1%  |
| Total   | 100.0%        | 100.0% | 100.0% | 100.0% |

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# Anheuser-Busch InBev SA/NV

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